

China Internet

Z.ai Co., Ltd.

Rating

Outperform

Price Target

 **2513.HK**

1,500.00 HKD (1,350.00 OLD)



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Z.ai H1: API revenue and margin on point

A full pivot to API revenues. Z.ai's H1 print showed overall revenue missing street expectations, though with API revenues looking solid, while the company scaled back its (historically disliked) on-prem business. RMB954mn of revenue compared with us and consensus on RMB1.2bn and RMB1.4bn, within which RMB825mn of API revenue was ahead of our modelling (RMB812mn) and consensus (RMB697bn). RMB203mn of API gross profit compared with our modelling on RMB189mn. The latter implied 24.6% margin in H1, which was slight ahead of our modelling on 23.3%. RMB2.1bn of R&D expenses surprisingly only grew 33.6% year on year, contributing to a lower adjusted net loss RMB2.0bn) than we and the street (RMB2.2bn and RMB2.8bn) had modelled.

\$1.6bn of ARR in August. It's probably worth remembering that H1 2026 featured three months where GLM4.7/5 were the main revenue drivers, and that the GLM-5.2 breakthrough happened in mid-June. Management guidance for \$1.6bn of monthly ARR pointed to c. \$130mn/RMB900mn of API revenue in August - more than total API revenue in H1 2026. A weekly run-rate over \$2bn meanwhile should mean 2026-end ARR materially exceeds our prior expectations. The company's guidance for a sharp increase in the ratio between revenue and total compute spend should mean inference margins improve somewhat in H2 - even in the face of hardware cost inflation.

Customer traction growth continues apace. API ARR aside, management commentary was focused on scaling expert domain data (e.g. cyber, finance, co-work), base model scale, RL depth, as well as the company's serving infra. The GLM-5.3-flash model was described as a precursor to the next, much bigger GLM pre-train - we'd guess this means the KDA/MLA backbone, IndexPool, mHC residual stability, and domestic silicon compatibility. All in, we thought these results were "fine" along the vectors that matter for longer-term growth. A negative reaction to the headline revenue miss wouldn't surprise us, but the on-prem miss strikes us as something of a red herring.

Investment Implications

We rate Z.ai Outperform (PT HK\$1,500).

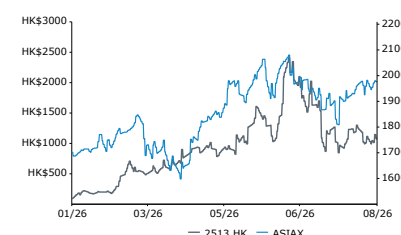
Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
2513.HK (RMB)	(2.40)	(5.35)	1.07	Revenues (M)	724.33	7,905	27,950	--	Adjusted P/E (x)	(498.7)	(223.2)	N/M
OLD	--	(7.95)	(5.26)	Gross Profit (M)	296.66	2,184	7,499	--	EV/Sales (x)	656.4	60.1	17.0
				Operating Earnings (M)	(2,251)	(2,497)	476.14	--	EV/EBIT (x)	(127.4)	(158.7)	(420.4)
				Net Earnings (M)	(382.28)	(2,369)	508.73	--				

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	31 Aug 2026			
2513.HK Close Price (HKD)	1,195.00			
Price Target (HKD)	1,500.00			
Upside/(Downside)	26%			
52-Week Range	2,980.00/116.10			
ASIAx	1,972.56			
FYE	Dec			
Div Yield	NA			
Market Cap (HKD) (M)	556,420			
EV (HKD) (M)	475,480			
Performance	YTD	1M	6M	12M
Absolute (%)	NA	21.0	107.8	NA
ASIAx (%)	20.6	3.0	7.3	32.0
Relative (%)	NA	18.0	100.5	NA

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

API REVENUES AND MARGIN ON TRACK, ON-PREM PULL BACK DRIVES HEADLINE MISS

Z.ai's H1 2026 results showed its API business performing largely as expected, while a sharp drop in the on-prem business (as management pivoted away) was responsible for the headline miss versus our numbers and street modelling. Group revenue of RMB954mn compared our modelling and consensus on RMB1.2bn and RMB1.4bn, while RMB825bn API revenue was higher than both (RMB812mn and RMB697mn). 24.6% API gross margin was a touch better than we'd modelled (23.3%). RMB2.1bn of R&D expense was lower than we'd modeled (RMB2.6bn), and mean RMB2.1bn of H1 operating loss and RMB2.0bn adjusted net loss were both lower than street modeling (RMB2.9bn and RMB2.8bn).

Management commentary around the call focused heavily around model scaling along several vectors. Guidance pointing to the recent frenetic pace of model iteration continuing in the coming months ought to be reassuring as far as the company's ARR trajectory is concerned. The GLM-5.2, GLM-5.3, and GLM-5.3-flash launches were clearly important drivers of the company's ARR growth from \$250mn in March to say \$500mn in June to \$1bn and \$1.6bn in the months hence. The quality of Z.ai's next, "much larger", pre-train will of course be all-important as far as the company's subsequent growth trajectory is concerned. Management's focus on token affordability means we've modelled pricing for the larger pre-train below Kimi K3 levels.

Exhibit 3 shows a summary of our estimate changes for Z.ai. Our latest price target of HK\$1,500 for Z.ai is based on unchanged valuation anchors - a blend of (1) 25x 2030E PE, discounted back at 14% annually; and (2) our DCF for the company (see Exhibit 4).

EXHIBIT 1: Z.ai: Results summary

<u>Z.ai H1 2026 results</u>			Delta		Growth YoY	
		H1 2026	vs. Bern	vs. Cons	Actual	Cons
Revenue	Actual	954	-17.2%	-29.6%	399.7%	609.6%
	Bernstein	1,152				
	Consensus	1,355				
Gross profit	Actual	252	-14.3%	-25.7%	163.7%	254.7%
	Bernstein	294				
	Consensus	338				
Gross margin	Actual	26.4%	0.9%	1.4%	-23.6%	-25.0%
	Bernstein	25.5%				
	Consensus	25.0%				
GAAP operating profit	Actual	-2,147	23.5%	26.6%	-13.0%	-54.1%
	Bern. Est.	-2,808				
	Consensus	-2,926				
GAAP operating margin	Actual	-225.0%	18.8%	-9.0%	770.0%	779.0%
	Bern. Est.	-243.8%				
	Consensus	-216.0%				
Non-GAAP net profit	Actual	-1,964	9.6%	28.6%	-12.1%	-56.9%
	Bernstein	-2,172				
	Consensus	-2,750				
GAAP EPS	Actual	-6.23	-1.0%	-18.7%	-0.1%	15.7%
	Bernstein	-6.17				
	Consensus	-5.25				

Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 2: Z.ai: Results by segment

<u>Segment revenue</u>	Actual H1 2026	Growth YoY	Bernstein H1 2026	Delta	Consensus H1 2026	Delta
Total revenue	954	399.7%	1,152	-17.2%	1,355	-29.6%
On-premise deployment	129	-20.4%	340	-62.1%	394	-67.3%
Cloud-based deployment	825	2735.7%	812	1.6%	697	18.3%

<u>Segment gross profit</u>	Actual H1 2026	Growth YoY	Bernstein H1 2026	Delta	Consensus H1 2026	Delta
Total gross profit	252	163.7%	294	-14.3%	338	-25.7%
On-premise deployment	49	-49.0%	104	-53.3%	135	-63.8%
Cloud-based deployment	203	n.m.	189	7.2%	204	-0.4%
Gross margin	26.4%		25.5%	0.9%	25.0%	1.4%
On-premise deployment	37.9%		30.7%	7.1%	34.2%	3.7%
Cloud-based deployment	24.6%		23.3%	1.3%	29.2%	-4.6%

Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 3: Z.ai: Summary of estimate changes

Z.ai: summary of estimate changes	2026E	2027E	2028E
Revenue			
Bernstein - Old	5,631	18,663	44,435
Growth YoY	677.4%	231.5%	138.1%
Bernstein - New	7,905	27,950	52,921
Growth YoY	991.4%	253.6%	89.3%
Consensus	4,445	13,200	29,906
Growth YoY	513.7%	197.0%	126.6%
New vs. old	40.4%	49.8%	19.1%
New vs. consensus	77.8%	111.7%	77.0%
GAAP operating income			
Bernstein - Old	-4,771	-3,732	-736
Growth YoY	26.0%	-21.8%	-80.3%
Margin	-84.7%	-20.0%	-1.7%
Bernstein - New	-3,181	-1,201	568
Growth YoY	-16.0%	-62.2%	-147.3%
Margin	-40.2%	-4.3%	1.1%
Consensus	-5,062	-5,322	-2,682
Growth YoY	33.7%	5.1%	-49.6%
Margin	-113.9%	-40.3%	-9.0%
New vs. old	-33.3%	-67.8%	-177.3%
New vs. consensus	-37.2%	-77.4%	-121.2%
Non-GAAP net income			
Bernstein - Old	-3,627	-2,565	1,931
Growth YoY	848.9%	-29.3%	-175.3%
Margin	-64.4%	-13.7%	4.3%
Bernstein - New	-2,369	509	3,745
Growth YoY	519.7%	-121.5%	636.2%
Margin	-30.0%	1.8%	7.1%
Consensus	-4,693	-4,938	-2,640
Growth YoY	1127.5%	5.2%	-46.5%
Margin	-105.6%	-37.4%	-8.8%
New vs. old	-34.7%	-119.8%	94.0%
New vs. consensus	-49.5%	-110.3%	-241.9%

Source: Corporate reports, Bernstein estimates and analysis.

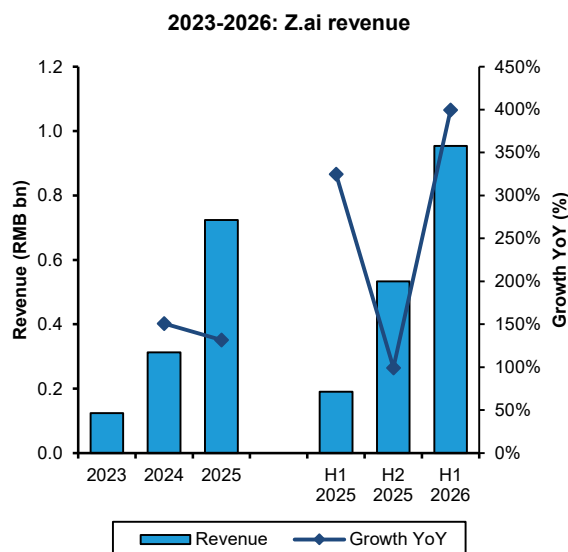
EXHIBIT 4: Z.ai: DCF valuation

RMB mn	2025	Est. 2026	Est. 2027	Est. 2028	Est. 2029	Est. 2030	Est. 2031	Est. 2032	Est. 2033	Est. 2034	Est. 2035
Revenue	724	7,905	27,950	52,921	91,906	150,852	209,684	260,008	296,409	323,086	333,380
Growth YoY		991.4%	253.6%	89.3%	73.7%	64.1%	39.0%	24.0%	14.0%	9.0%	3.2%
Gross profit	297	2,184	7,499	14,621	31,970	67,087	99,763	131,781	159,435	183,818	200,028
% of revenue	41.0%	27.6%	26.8%	27.6%	34.8%	44.5%	47.6%	50.7%	53.8%	56.9%	60.0%
R&D expenses	-3,180	-4,748	-7,359	-11,406	-17,110	-25,664	-36,084	-47,342	-57,663	-64,813	-66,758
Growth YoY		49.3%	55.0%	55.0%	50.0%	50.0%	40.6%	31.2%	21.8%	12.4%	3.0%
Other operating expenses	-881	-580	-1,321	-2,626	-4,575	-7,523	-11,447	-16,017	-20,451	-23,607	-24,359
Growth YoY		-34.2%	127.8%	98.9%	74.2%	64.4%	52.2%	39.9%	27.7%	15.4%	3.2%
Profit/(loss) from operations	-3,787	-3,143	-1,181	588	10,285	33,900	52,232	68,421	81,321	95,398	108,912
% of revenue	-522.8%	-39.8%	-4.2%	1.1%	11.2%	22.5%	24.9%	26.3%	27.4%	29.5%	32.7%
Less: Income tax	0	0	0	-88	-1,543	-5,085	-7,835	-10,263	-12,198	-14,310	-16,337
Effective tax rate %		15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%
NOPAT	-3,787	-3,143	-1,181	500	8,743	28,815	44,397	58,158	69,123	81,088	92,575
Depreciation & amortization costs	281	283	296	343	431	584	836	1,185	1,618	2,112	2,651
Change in net working capital	704	3,249	6,892	8,699	12,590	16,532	22,979	28,494	32,483	35,407	36,535
Capital expenditure	-11	-79	-280	-529	-919	-1,509	-2,097	-2,600	-2,964	-3,231	-3,334
Additions to intangibles	-12	-81	-203	-312	-450	-623	-769	-880	-954	-1,005	-1,024
Free cash flow	-2,824	229	5,524	8,701	20,394	43,799	65,346	84,357	99,307	114,371	127,402
% of revenue	-389.9%	2.9%	19.8%	16.4%	22.2%	29.0%	31.2%	32.4%	33.5%	35.4%	38.2%
WACC	13.9%										
Terminal growth rate	3.2%										
Discount factor		0.3	1.3	2.3	3.3	4.3	5.3	6.3	7.3	8.3	9.3
Present value of FCF - per share		0.2	9.8	13.1	26.5	49.0	63.2	70.6	71.9	71.7	69.1
Sum of discounted cash flows - per share	445										
NPV of terminal value - per share	668										
Enterprise value per share (RMB)	1,113										
Less: minority interest - per share	0										
Add: adj. net cash/debt - per share	4										
Equity value per share (RMB)	1,117										
Equity value per share (HK\$)	1,303										
Implied 12-month forward price (HK\$)	1,483										
Upside/downside	24.1%										

Source: Corporate reports, Bernstein estimates and analysis.

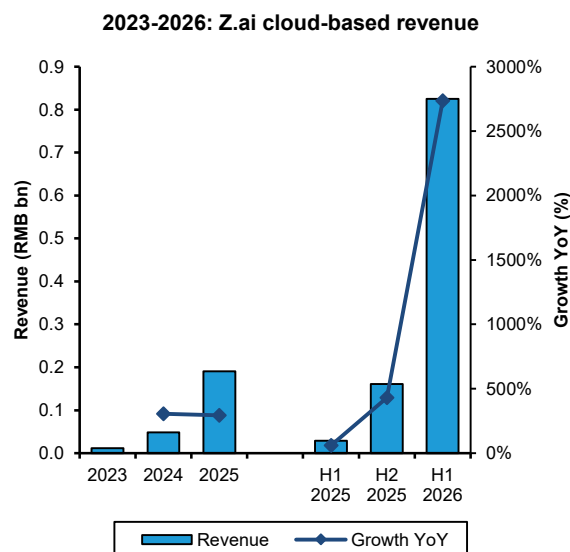
H1 2026 RESULTS IN CHARTS

EXHIBIT 5: Z.ai revenue grew 400% in H1 2026 to RMB954mn



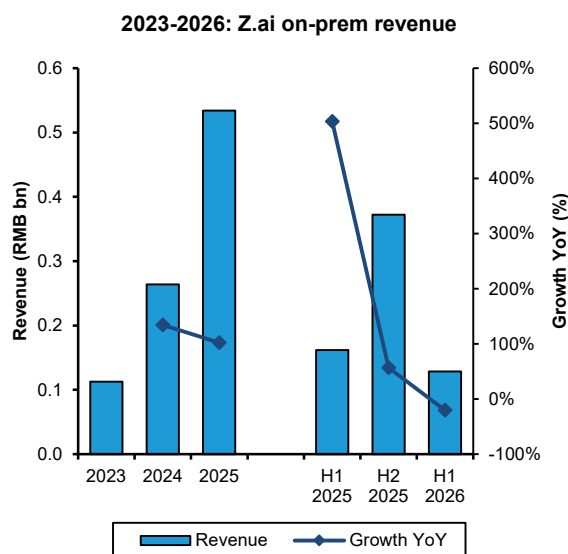
Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 6: Cloud-based revenue grew more than 27 times to RMB825mn in H1 2026



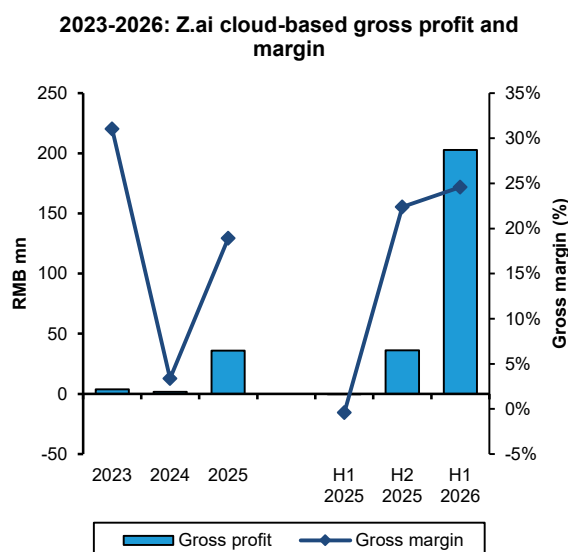
Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 7: Revenue from on-prem deployment reached RMB129mn, down 20% year on year



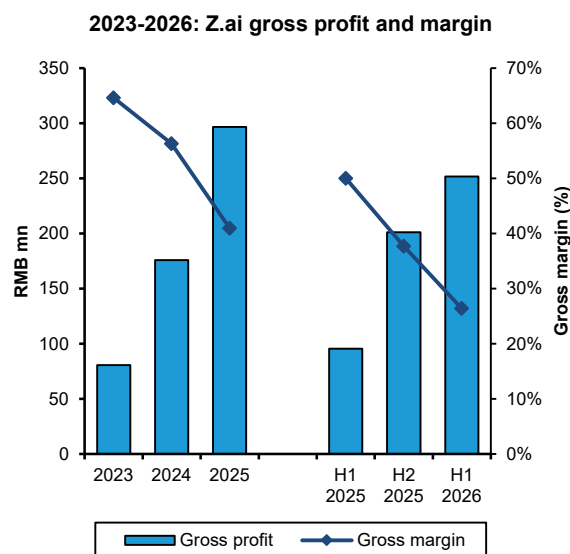
Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 9: Cloud-based gross profit was RMB203mn, implying a 24.6% margin



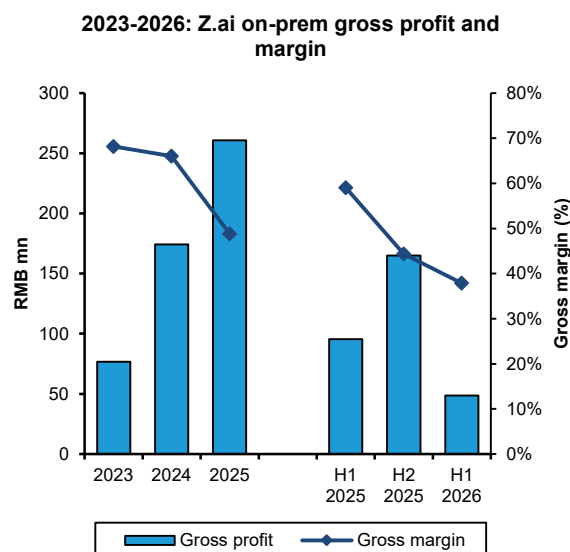
Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 8: Z.ai's gross profit reached RMB252mn, implying a 26.4% margin



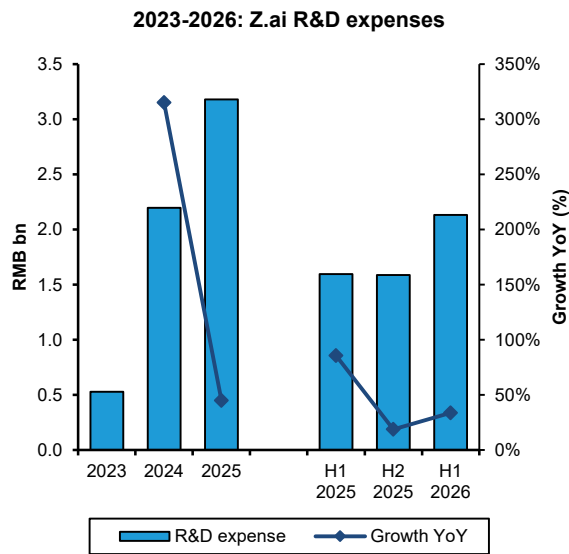
Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 10: On-prem gross profit reached RMB49mn, implying a 37.9% margin



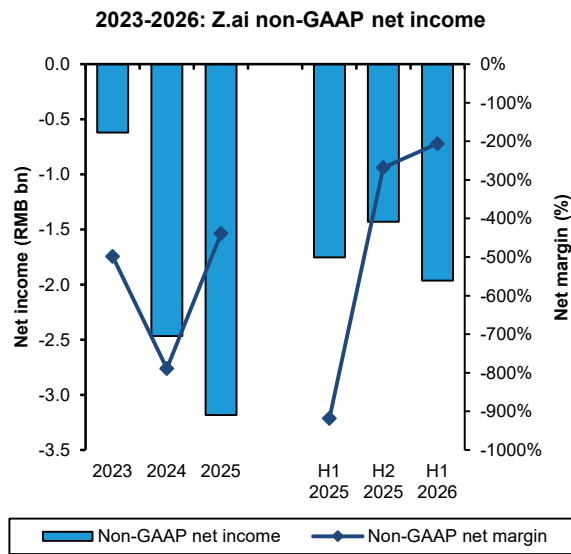
Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 11: **R&D expenses increased 34% to RMB2.1bn in H1 2026**



Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 12: **Z.ai's non-GAAP net loss was RMB2.0bn in H1 2026, implying a negative 206% margin**



Source: Corporate reports, Bernstein estimates and analysis.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 13: Z.ai: Income Statement

RMB mn	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue	125	312	724	7,905	27,950	52,921	91,906	150,852
Gross profit	80	176	297	2,184	7,499	14,621	31,970	67,087
Selling & marketing expenses	-101	-387	-391	-378	-804	-1,588	-2,757	-4,526
General & administrative expenses	-66	-134	-505	-253	-536	-1,058	-1,838	-3,017
Research and development expenses	-529	-2,195	-3,180	-4,748	-7,359	-11,406	-17,110	-25,664
Other items	-10	2	-7	14	0	0	0	0
Loss from operations	-626	-2,538	-3,787	-3,181	-1,201	568	10,265	33,880
Non-GAAP operating profit	-459	-2,046	-2,251	-2,497	476	3,744	15,780	42,931
Profit before tax	-788	-2,958	-4,718	-3,084	-1,171	588	10,285	33,900
Income tax expense	0	0	0	-2	0	-17	-447	-2,098
Net income	-788	-2,958	-4,718	-3,086	-1,171	571	9,839	31,802
Net profit attributable to SHs	-445	-1,394	-1,918	-3,031	-1,168	570	9,819	31,743
Non-GAAP net profit attributable to SHs	-278	-902	-382	-2,369	509	3,745	15,333	40,794
Non-GAAP EPS per share - diluted (RMB)	-18.40	-5.64	-2.40	-5.35	1.07	7.64	30.68	80.01

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 14: Z.ai: Cash Flow Statement

RMB mn	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Loss before taxation	-788	-2,958	-4,718	-3,084	-1,171	588	10,285	33,900
Depreciation & amortization	69	280	281	209	404	1,193	2,559	4,789
Changes in working capital	-96	0	704	-2,415	-2,902	-3,533	-4,404	-4,735
Other	167	433	1,487	690	1,677	3,158	5,067	6,953
Cash flow from operations	-648	-2,245	-2,246	-4,600	-1,991	1,406	13,509	40,907
Capex	-507	-126	-11	-791	-2,795	-5,292	-9,191	-15,085
Other	-278	77	-364	-79	-280	-529	-919	-1,509
Cash flow from investments	-785	-49	-376	-870	-3,075	-5,821	-10,110	-16,594
Cash flow from financing	2,463	3,312	2,614	18,760	25,000	15,000	10,000	10,000
Net effect of exchange rate changes	0	0	-5	0	0	0	0	0
Net change in cash	1,030	1,019	-13	13,291	19,934	10,585	13,399	34,313
Beginning cash	219	1,249	2,268	2,255	15,546	35,480	46,064	59,463
Ending cash	1,249	2,268	2,255	15,546	35,480	46,064	59,463	93,777

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 15: Z.ai: Balance Sheet

RMB mn	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Cash & cash equivalents, term deposits	1,249	2,269	2,368	15,661	35,598	46,187	59,593	93,917
Trade and other receivables	416	667	699	19,095	48,079	83,364	127,331	174,575
Other current assets	198	80	505	2,288	5,187	8,715	13,112	17,836
Total current assets	1,863	3,016	3,571	37,043	88,864	138,267	200,037	286,329
Property and equipment	788	866	656	1,250	3,670	7,861	14,693	25,370
Other non-current assets	209	494	627	693	943	1,380	2,098	3,226
Total assets	2,860	4,376	4,854	38,986	93,477	147,508	216,828	314,926
Trade and other payables	288	603	1,329	19,095	48,079	83,364	127,331	174,575
Other current liabilities	3,321	7,235	11,078	11,078	11,078	11,078	11,078	11,078
Total current liabilities	3,609	7,838	12,406	30,172	59,157	94,442	138,409	185,653
Other non-current liabilities	234	493	559	559	559	559	559	559
Total liabilities	3,843	8,331	12,965	30,731	59,715	95,000	138,967	186,211
Shareholders' equity	-983	-3,955	-8,111	8,255	33,761	52,508	77,861	128,714
Total liabilities & shareholders' equity	2,860	4,376	4,854	38,986	93,477	147,508	216,828	314,926

Source: Corporate reports, Bernstein estimates and analysis.

BERNSTEIN TICKER TABLE

			31 Aug 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing Price	Price Target	Rel. Perf.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
2513.HK (Z.AI)	O	HKD	1,195.00	1,500.00	NA	RMB	(2.40)	(5.35)	1.07	(498.7)	(223.2)	N/M
OLD				1,350.00				(7.95)	(5.26)			
ASIA			1,972.56									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY**Z.AI Co., Ltd.**

We value Z.ai on a combination of 25x 2030E PE, discounted back at 14% annualised, and our DCF for the company.

RISKS**Z.AI Co., Ltd.**

The main fundamental downside risks related to Z.ai include the speed of enterprise AI adoption in China, and competition from rival AI model developers. Investor perceptions on the Chinese AI labs can vary significantly depending on the most recent model release, and can shift materially especially during periods of bearish AI sentiment.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

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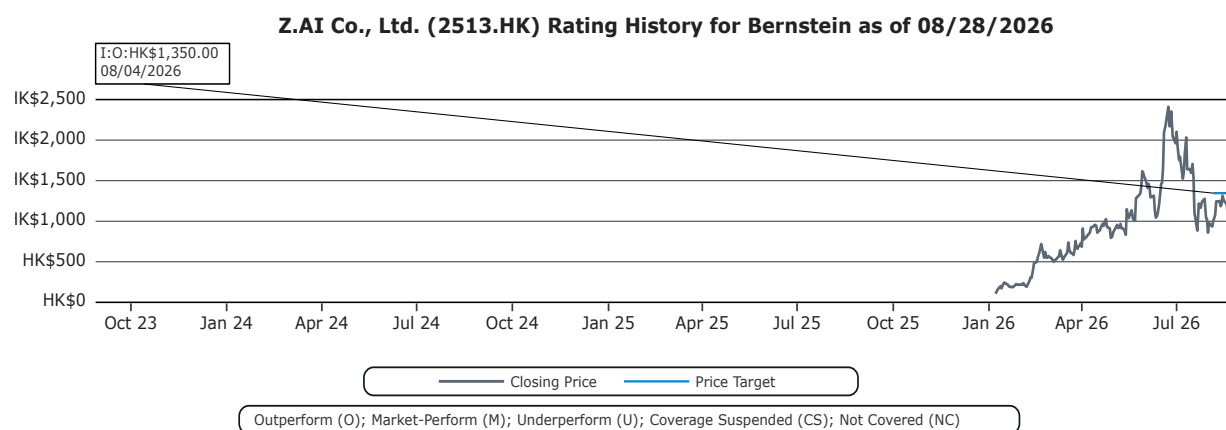
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Underperform	SELL	13.1%	13.6%

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